LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

SIX MONTH PERIOD ENDED 30 SEPTEMBER 2017

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the six month period ended 30 September 2017

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-17	**31-Mar-17**	*As at*	**30-Sep-17**	**30-Sep-16**	**30-Sep-17**	**30-Sep-16**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
				Re-stated		
		Assets				
54,215,239	460,015	Cash and cash equivalents	55,651,815	14,039,518	1,696,014	239,214
3,649,561	453,204	Trading assets - fair value through profit or loss	11,280,722	1,081,139	459,188	485,289
55,379,321	348,508	Investment securities	74,544,850	58,943,116	366,953	636,949
51,886,989	4,422	Finance lease receivables, hire purchases and operating leases	54,164,591	52,683,899	4,271	8,702
366,809,378	785,112	Advances and other loans	434,308,490	186,057,967	695,578	902,769
1,080,758	-	Insurance premium receivables	996,253	837,615	-	-
4,070,523	364,029	Inventories	3,529,574	3,663,220	352,256	426,082
1,404,425	131,566	Current tax assets	358,653	127,991	159,056	-
14,979,118	26,262,577	Trade and other current assets	23,666,118	12,006,380	17,211,581	27,661,367
741,279	-	Prepaid lease rentals on leasehold properties	737,521	731,316	-	-
9,750,928	376,600	Investment properties	10,688,203	8,415,130	376,600	353,000
-	-	Real estate stocks	-	937,004	-	-
		Biological Assets;		-		
2,984,091	-	Consumer Biological Assets	2,987,659	6,140,963	-	-
1,151,494	-	Bearer Biological Assets	1,168,911	4,887,608	-	-
		Investments in group companies;		-		
-	61,670,676	Subsidiary companies	-	-	62,977,395	42,608,567
-	-	Jointly controlled entities	-	-	-	-
15,764,522	4,314,001	Equity accounted investees - Associates	16,956,213	18,616,166	4,314,001	7,816,377
1,492,249	-	Deferred tax assets	1,328,644	417,434	-	67,010
13,299,451	203,084	Intangible assets	13,426,079	2,551,515	217,841	232,682
42,265,514	6,633,567	Property, plant and equipment	42,176,632	36,238,965	6,852,908	4,599,009
640,924,840	**102,007,361**	**Total assets**	**747,970,928**	**408,376,946**	**95,683,642**	**86,037,017**
		Liabilities and equity				
		Liabilities				
7,365,332	1,691,299	Bank overdrafts	7,789,870	6,986,757	1,889,612	1,352,368
65,287	1,252	Trading liabilities - fair value through profit or loss	922,953	261,140	186	4,345
211,128,007	-	Deposits liabilities	271,491,695	81,047,544	-	-
286,749,284	51,006,998	Interest bearing borrowings	314,975,136	221,448,975	42,499,271	46,811,980
2,048,422	-	Insurance provision - life	2,697,417	1,888,922	-	-
2,729,985	-	Insurance provision - general	3,097,723	2,716,234	-	-
3,636,203	623,434	Current tax payables	5,321,758	2,760,468	123,531	157,965
17,682,263	1,238,204	Trade and other payables	25,292,063	14,734,005	4,055,859	1,292,795
4,492,485	219,926	Deferred tax liabilities	3,878,988	3,766,737	236,650	88,554
235,833	-	Deferred income	205,962	648,986	-	-
2,175,902	234,548	Retirement benefit obligations	2,226,005	2,033,049	255,014	198,460
538,309,003	**55,015,661**	**Total liabilities**	**637,899,570**	**338,292,817**	**49,060,123**	**49,906,467**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
8,932,444	3,377,627	Reserves	8,974,614	5,492,805	3,396,071	1,697,003
49,442,054	43,138,873	Retained earnings	54,707,576	35,935,856	42,752,248	33,958,347
58,849,698	**46,991,700**	**Equity attributable to shareholders of the Company**	**64,157,390**	**41,903,861**	**46,623,519**	**36,130,550**
43,766,139	-	**Non-controlling interests**	**45,913,968**	**28,180,268**	**-**	**-**
102,615,837	**46,991,700**	**Total equity**	**110,071,358**	**70,084,129**	**46,623,519**	**36,130,550**
640,924,840	**102,007,361**	**Total liabilities & equity**	**747,970,928**	**408,376,946**	**95,683,642**	**86,037,017**
123.84	**98.89**	**Net assets per share (Rs.)**	**135.01**	**88.18**	**98.11**	**76.03**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I.C.Nanayakkara
Deputy Chairman
15th November 2017, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Six Months Ended		
	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000 Re-stated	Variance %	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000 Re-stated	Variance %
Gross income	**35,734,620**	**21,660,401**	**65**	**69,505,473**	**41,103,073**	**69**
Interest income	25,021,996	13,067,208	91	48,410,077	24,877,087	95
Interest expense	(14,410,194)	(7,162,226)	(101)	(28,072,205)	(13,844,937)	(103)
Net interest income	**10,611,802**	**5,904,982**	**80**	**20,337,872**	**11,032,150**	**84**
Revenue	5,799,466	5,845,837	(1)	10,642,144	10,904,385	(2)
Cost of sales	(3,791,993)	(3,575,283)	6	(6,746,338)	(6,724,097)	0
Gross profit	**2,007,473**	**2,270,554**	**(12)**	**3,895,806**	**4,180,288**	**(7)**
Income	3,565,981	2,623,617	36	6,425,688	4,842,934	33
Other income/(expenses) (Including net finance cost)	1,347,177	123,739	989	4,027,564	478,667	741
Profit before operating expenses	**17,532,433**	**10,922,892**	**61**	**34,686,930**	**20,534,039**	**69**
Operating expenses						
VAT on financial services	(712,893)	(454,629)	(57)	(1,272,857)	(877,321)	(45)
Other direct expenses excluding finance costs	(1,476,977)	(1,308,426)	(13)	(2,776,600)	(2,439,360)	(14)
Personnel costs	(4,555,735)	(2,909,368)	(57)	(8,944,600)	(5,848,555)	(53)
Net impairment (loss) / reversal on financial assets	(2,321,073)	(760,997)	(205)	(3,743,485)	(1,435,857)	(161)
Depreciation and amortization	(568,270)	(430,341)	(32)	(1,096,727)	(836,015)	(31)
Other operating expenses	(3,033,012)	(2,710,249)	(12)	(6,076,722)	(4,625,738)	(31)
Results from operating activities	**4,864,473**	**2,348,882**	**107**	**10,775,939**	**4,471,193**	**141**
Share of profits of equity accounted investees	357,044	920,333	(61)	934,336	1,966,997	(52)
Results on acquisition and divestment of group investments	-	196,208	(100)	-	196,208	(100)
Profit before income tax expense	**5,221,517**	**3,465,423**	**51**	**11,710,275**	**6,634,398**	**77**
Income tax expense	(1,484,033)	(769,525)	(93)	(2,894,137)	(1,533,435)	(89)
Profit for the period	**3,737,484**	**2,695,898**	**39**	**8,816,138**	**5,100,963**	**73**
Profit attributable to;						
Equity holders of the Company	1,856,767	2,416,047	(23)	4,712,410	4,753,430	(1)
Non-controlling interests	1,880,717	279,851	572	4,103,728	347,533	1,081
	3,737,484	**2,695,898**	**39**	**8,816,138**	**5,100,963**	**73**
Basic earnings per share (Rs.)	**3.91**	**5.08**	**(23)**	**9.92**	**10.00**	**(1)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Six Months Ended		
	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000	Variance %	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000	Variance %
Profit for the period	**3,737,484**	**2,695,898**	**39**	**8,816,138**	**5,100,963**	**73**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	180,095	110,948	62	490,314	151,475	224
Net movement of cash flow hedges	(234,349)	43,113	(644)	(397,629)	(17,283)	(2,201)
Effect on translation differences for foreign operations	(82,621)	(227,353)	64	(78,004)	(250,913)	69
Other comprehensive income/ (expense) for the year, net of tax	**(136,875)**	**(73,292)**	**87**	**14,681**	**(116,721)**	**(113)**
Total comprehensive income / (expense) for the period	**3,600,609**	**2,622,606**	**37**	**8,830,819**	**4,984,242**	**77**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	1,789,391	2,360,023	(24)	4,736,238	4,666,043	2
Non-controlling interests	1,811,218	262,583	590	4,094,581	318,199	1,187
Total comprehensive income / (expense) for the period	**3,600,609**	**2,622,606**	**37**	**8,830,819**	**4,984,242**	**77**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Six Months Ended		
	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000 Re-classified	Variance %	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000 Re-classified	Variance %
Gross income	**2,186,761**	**2,494,344**	**(12)**	**5,094,405**	**4,889,491**	**4**
Interest income	541,247	826,927	(35)	1,452,186	1,495,633	(3)
Interest expense	(1,421,745)	(1,245,535)	(14)	(2,928,505)	(2,289,795)	(28)
Net interest income	**(880,498)**	**(418,608)**	**(110)**	**(1,476,319)**	**(794,162)**	**(86)**
Income	780,604	623,712	25	1,789,379	1,369,831	31
Other income/(expenses)	864,910	1,043,705	(17)	1,852,840	2,024,027	(8)
Profit before operating expenses	**765,016**	**1,248,809**	**(39)**	**2,165,900**	**2,599,696**	**(17)**
Operating expenses						
VAT on financial services	(14,883)	(9,730)	(53)	(31,780)	(20,300)	(57)
Other direct expenses excluding finance costs	(7,648)	(11,879)	36	(15,289)	(21,329)	28
Personnel costs	(219,523)	(116,835)	(88)	(600,026)	(548,888)	(9)
Net impairment (loss) / reversal on financial assets	133	439	70	1,689	1,656	(2)
Depreciation and amortization	(124,308)	(96,635)	(29)	(227,924)	(182,214)	(25)
Other operating expenses	(928,315)	(651,854)	(42)	(1,568,014)	(1,106,676)	(42)
Profit before income tax expense	**(529,528)**	**362,315**	**(246)**	**(275,444)**	**721,945**	**(138)**
Income tax expense	(40,049)	(52,185)	23	(111,184)	(136,517)	19
Profit for the period	**(569,577)**	**310,130**	**(284)**	**(386,628)**	**585,428**	**(166)**
Profit attributable to;						
Equity holders of the Company	(569,577)	310,130	(284)	(386,628)	585,428	(166)
Non-controlling interests	-	-	-	-	-	-
	(569,577)	**310,130**	**(284)**	**(386,628)**	**585,428**	**(166)**
Basic earnings per share (Rs.)	**(1.20)**	**0.65**	**(284)**	**(0.81)**	**1.23**	**(166)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Six Months Ended		
	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000	Variance %	30-Sep-17 Rs.' 000	30-Sep-16 Rs.' 000	Variance %
Profit for the period	**(569,577)**	**310,130**	**(284)**	**(386,628)**	**585,428**	**(166)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(44,655)	27,230	(264)	18,445	43,685	(58)
Other comprehensive income/ (expense) for the year, net of tax	**(44,655)**	**27,230**	**(264)**	**18,445**	**43,685**	**(58)**
Total comprehensive income / (expense) for the period	**(614,232)**	**337,360**	**(282)**	**(368,183)**	**629,113**	**(159)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	(614,232)	337,360	(282)	(368,183)	629,113	(159)
Non-controlling interests	-	-	-	-	-	-
Total comprehensive income / (expense) for the period	**(614,232)**	**337,360**	**(282)**	**(368,183)**	**629,113**	**(159)**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the six month period ended 30 September 2017

Company	Equity attributable to the shareholders of the Company						
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,919**	**35,501,437**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	585,428	**585,428**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	43,685	-	-	**43,685**
Total comprehensive income for the period	-	-	-	43,685	-	585,428	**629,113**
Balance as at 30 September 2016 - Re-stated	**475,200**	**1,283,286**	**-**	**208,717**	**205,000**	**33,958,347**	**36,130,550**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**-**	**33,006**	**205,000**	**43,138,876**	**46,991,702**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	(386,628)	**(386,628)**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	18,445	-	-	**18,445**
Total comprehensive income for the period	**-**	**-**	**-**	**18,445**	**-**	**(386,628)**	**(368,183)**
Balance as at 30 September 2017	**475,200**	**3,139,620**	**-**	**51,451**	**205,000**	**42,752,248**	**46,623,519**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the six month period ended 30 September 2017

Group	Equity Attributable to the Owners of the Company										
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2016	**475,200**	**3,434,185**	**218,241**	**(1,105,365)**	**929,777**	**205,000**	**1,754,358**	**31,786,984**	**37,698,380**	**28,677,845**	**66,376,225**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	4,753,430	**4,753,430**	347,533	**5,100,963**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	136,270	-	-	-	-	**136,270**	15,205	**151,475**
Net movement of cash flow hedges	-	-	(208,404)	-	-	-	-	-	**(208,404)**	(42,509)	**(250,913)**
Effect on translation differences for foreign operations	-	-	-	-	(15,253)	-	-	-	**(15,253)**	(2,030)	**(17,283)**
Depreciation transfer on revaluation	-	(227)	-	-	-	-	-	227	**-**	-	**-**
Total comprehensive income for the period	**-**	**(227)**	**(208,404)**	**136,270**	**(15,253)**	**-**	**-**	**4,753,657**	**4,666,043**	**318,199**	**4,984,242**
Dividends paid during the period	-	-	-	-	-	-	-	-	**-**	(210,314)	**(210,314)**
Adjustments due to changes in group holdings and other consolidation adjustments	-	3,671	-	-	-	-	-	(464,233)	**(460,562)**	(216,189)	**(676,751)**
Disposal of Subsidiary	-	-	-	-	-	-	-	-	**-**	(389,273)	**(389,273)**
Reserve transfers	-	-	-	-	-	-	140,552	(140,552)	**-**	-	**-**
Balance as at 30 September 2016 - Re-stated	**475,200**	**3,437,629**	**9,837**	**(969,095)**	**914,524**	**205,000**	**1,894,910**	**35,935,856**	**41,903,861**	**28,180,268**	**70,084,129**
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	4,712,410	**4,712,410**	4,103,728	**8,816,138**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	469,048	-	-	-	-	**469,048**	21,266	**490,314**
Net movement of cash flow hedges	-	-	(345,503)	-	-	-	-	-	**(345,503)**	(52,126)	**(397,629)**
Effect on translation differences for foreign operations	-	-	-	-	(99,717)	-	-	-	**(99,717)**	21,713	**(78,004)**
Total comprehensive income for the period	**-**	**-**	**(345,503)**	**469,048**	**(99,717)**	**-**	**-**	**4,712,410**	**4,736,238**	**4,094,581**	**8,830,819**
Reserve transfers	-	-	-	-	-	-	18,568	(18,568)	**-**	-	**-**
Depreciation transfer on revaluation	-	(228)	-	-	-	-	-	228	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	**-**	(747,197)	**(747,197)**
Non-controlling interests recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	**-**	1,659,336	**1,659,336**
NCI contribution for subsidiary share issues	-		-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	571,453	**571,453**	(2,859,041)	**(2,287,588)**
Balance as at 30 September 2017	**475,200**	**6,601,381**	**(227,145)**	**(426,168)**	**644,816**	**205,000**	**2,176,730**	**54,707,576**	**64,157,390**	**45,913,968**	**110,071,358**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the six month period ended 30 September 2017	Group		Company	
	2017	**2016**	**2017**	**2016**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
		Re-stated		
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	11,710,275	6,634,398	(275,444)	721,945
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(83,403)	(164,628)	(60,920)	(16,916)
Depreciation and amortization	1,096,727	836,015	227,924	182,214
Insurance provision	1,016,733	949,064	-	-
Change in fair value of forward contracts	86,805	14,571	-	-
Provision for gratuity	164,652	98,072	22,636	16,800
Net impairment (loss) / reversal on financial assets	3,743,485	1,435,857	(1,689)	1,656
Provision for fall/(increase) in value of investments	(182,053)	(199,882)	(9,443)	(66,864)
Investment Income	(423,259)	(56,328)	(30,056)	(160,175)
Finance costs	28,072,205	13,844,937	2,928,505	2,289,795
Interest income	(3,016,412)	(1,892,918)	-	-
(Profit)/loss on sale of quoted and non-quoted shares	(916,325)	604	125	7,538
Share of profits of equity accounted investees	(934,336)	(1,966,997)	-	-
(Gain)/Loss on disposal of subsidiaries	-	(196,208)	-	-
Transaction cost on acquisition of subsidiaries	3,625	-	-	-
Operating profit before working capital changes	**40,338,719**	**19,336,557**	**2,801,638**	**2,975,993**
Working capital changes				
Increase/(decrease) in trade and other payables	7,913,861	3,155,353	2,336,587	(61,355)
(Increase)/decrease in investment in leases, hire purchase and others	(2,673,455)	(1,482,073)	3,151	219
(Increase)/decrease in investment in advances and other loans	(70,167,296)	(25,912,885)	88,222	119,906
(Increase)/decrease in premium receivables	84,505	(36,450)	-	-
(Increase)/decrease in inventories	540,949	(26,097)	11,772	-
(Increase)/decrease in trade and other receivables	(8,607,522)	(1,313,163)	9,038,039	(10,227,945)
(Increase)/decrease in customer deposits	60,147,166	6,881,812	-	-
Cash generated from operations	**27,576,927**	**603,054**	**14,279,409**	**(7,193,182)**
Finance cost paid	(23,506,398)	(11,146,451)	(2,858,893)	(2,133,817)
Income tax and Economic Service Charge paid	(579,771)	(262,631)	(128,897)	(17,911)
Defined benefit plan costs paid	(117,932)	(124,726)	(2,169)	(3,203)
Net cash from/(used in) operating activities	**3,372,826**	**(10,930,754)**	**11,289,450**	**(9,348,113)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(1,306,716)	7,364
Net cash and cash equivalents on acquisition of subsidiary	688,049	-	-	-
Net cash and cash equivalents received on disposal of subsidiary	-	506,520	-	-
Investment in equity accounted investees	(306,441)	(366,627)	-	-
Acquisition of non-controlling interests	(2,286,764)	(731,083)	-	-
Acquisition/ (Disposal) of property, plant and equipment and leasehold rights	(1,857,211)	(4,413,236)	(444,310)	(357,432)
Acquisition / (Disposal) of intangible assets	(75,835)	(95,976)	(62,587)	(66,472)
Net additions to trading assets	(6,532,783)	1,515,686	-	-
Net additions to investment securities	(18,341,702)	2,159,799	3,335	117,185
Proceeds from the sale of property, plant and equipment	112,974	29,622	105,797	28,033
Interest received	3,036,719	1,892,918	-	-
Dividend received	452,038	267,423	30,056	160,175
Net additions to biological assets	(45,333)	(144,911)	-	-
Net cash flow from investing activities	**(25,156,289)**	**620,135**	**(1,674,425)**	**(111,147)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(21,191,166)	11,081,805	(13,880,191)	11,703,022
Principal repayment under finance lease liabilities	(310,580)	(231,500)	(24,823)	(192,064)
Proceeds from long-term interest bearing loans and borrowings	68,659,905	5,880,323	6,361,556	861,773
Repayments of long-term interest bearing loans and borrowings	(23,615,609)	(3,619,968)	(1,033,881)	(711,238)
Dividends paid to non-controlling interests	(747,197)	(210,314)	-	-
NCI contributions to share issue of subsidiaries	148	39,550	-	-
Net cash generated from financing activities	**22,795,501**	**12,939,896**	**(8,577,339)**	**11,661,493**
Net increase/(decrease) in cash and cash equivalents during the period	1,012,038	2,629,277	1,037,686	2,202,233
Cash and cash equivalents at the beginning of the period	46,849,907	4,423,484	(1,231,284)	(3,315,387)
Cash and cash equivalents at the end of the period	**47,861,945**	**7,052,761**	**(193,598)**	**(1,113,154)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	55,651,815	14,039,518	1,696,014	239,214
Unfavorable Bank Balances used for cash management purposes	(7,789,870)	(6,986,757)	(1,889,612)	(1,352,368)
	47,861,945	**7,052,761**	**(193,598)**	**(1,113,154)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 30 September 2017, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the six month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries and associates and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2016/17 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2017.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

9 Market prices of ordinary shares recorded during the quarter ended 30th September 2017 are as follows;

Closing price	127.00
Highest Price	130.00
Lowest Price	107.10

10 Comparative information Re-classification

The presentation and classification of the following items in these Financial Statements are amended to ensure comparability with the current period.

	Company for the Six Moths period ended 30th Sep 2017		
	As Previously Reported	**Re-classification**	**Current Period**
	2016		**2017**
	Rs. '000	**Rs. '000**	**Rs. '000**
Income			
Other operational income/ shared service income	20,730	1,349,101	1,369,831
Other income/(expenses)	2,030,961	(6,934)	2,024,027
Personnel expenses			
Salaries, wages and other benefits	155,855	393,033	548,888
Other operating expenses	157,542	949,134	1,106,676

	Company for the three Moths period ended 30th Sep 2017		
	As Previously Reported	Re-classification	Current Period
	2016		2017
	Rs. '000	Rs. '000	Rs. '000
Income			
Other operational income/ shared service income	11,486	612,226	623,712
Other income/(expenses)	1,050,639	(6,934)	1,043,705
Personnel expenses			
Salaries, wages and other benefits	33,699	83,136	116,835
Other operating expenses	129,698	522,156	651,854

11 Information on Company's listed debentures

11.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 29th September 2017

	Buying	Selling
4 Year Bond		
Price	99.48	99.55
Yield	9.27%	9.20%
5 Year Bond		
Price	101.07	101.33
Yield	9.59%	9.48%

11.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	99.52	101.20
Yield	9.24%	9.54%

	Current period
Yield to maturity of trade done on 04.09.2017	10.54

Debt to equity	1.05	times
Interest cover	1.42	times
Quick asset ratio	2.34	times

11.3 The market prices and yield during the period (ex interest)

Highest price	93.20
Lowest price	88.10
Last traded price	93.20

12 Backed to backed deposits details	**As at 30 September 2017**
	Rs. '000
Back to back deposits on foreign funding	24,320,309
Interest income earned on back to back deposits	358,119

13 Group Portfolio information	**As at 30 September 2017**
	Rs. '000
Gross portfolio	500,262,602
Non-performing portfolio > 6 months	10,432,027
Allowance for non-performing portfolio	11,789,522

14 Significant movement in the figures are noted in the group financial results and financial position as a result of PRASAC Micrifinance Institution Limited becoming a subsidiary from an associate in the comparative period.Further, impact is also noted due to divestment of the investments in Hydro & Plantation sector.

15 Deconsolidation of Agalawatte Plantations PLC

As disclosed in the Note no 31.10 to the Annual Report of the Company, In July 2016, the Group acquired 60.80% stake in Agalawatte Plantations PLC (APL) with a long term view and considered it as an investment in Subsidiary of the Group. Accordingly, Agalawatte Plantations PLC was consolidated and unaudited financial statements for the quarters ended 30th September 2016 and 31st December 2016 was presented.

Consequent to the matters disclosed in the same note, in order to present the substance of the transaction and its effect, the management concluded that the investment in APL not to be treated as an investment in subsidiary from the date of acquisition for the purpose of preparing consolidated financial statements of Lanka Orix Leasing PLC for the year ended 31st March 2017. Accordingly, comparative information has restated with the above effect.

The impact on the deconsolidation of Agalawatte plantations PLC to the group financial statements explained below;

Effect on Total Comprehensive Income

For the Period Ended	Group		
	30-Sep-15		
	Rs.'000	Rs.'000	Rs.'000
	As Previously Reported	Re-statement	As Per Amendments
Gross income	**41,456,949**	**(353,876)**	**41,103,073**
Interest expenses	24,877,087	-	24,877,087
Interest expenses	(13,926,907)	81,970	(13,844,937)
Net interest income	**10,950,180**	**81,970**	**11,032,150**
Revenue	11,253,205	(348,820)	10,904,385
Cost of sales	(6,871,516)	147,419	(6,724,097)
Gross profit	**4,381,689**	**(201,401)**	**4,180,288**
Income	4,842,977	(43)	4,842,934
Other income/(expenses)	483,680	(5,013)	478,667
Profit before operating expenses	**20,658,526**	**(124,487)**	**20,534,039**
Operating expenses			
VAT on financial services	(877,321)	-	(877,321)
Other direct expenses excluding finance costs	(2,439,360)	-	(2,439,360)
Personnel costs	(6,051,263)	202,708	(5,848,555)
Net impairment loss on financial assets	(1,435,857)	-	(1,435,857)
Depreciation and amortization	(836,685)	670	(836,015)
Other operating expenses	(4,696,949)	71,211	(4,625,738)
Results from operating activities	**4,321,091**	**150,102**	**4,471,193**
Share of profits of equity accounted investees	2,002,357	(35,360)	1,966,997
Results on acquisition of Group investments	196,208	-	196,208
Profit before income tax expense	**6,519,656**	**114,742**	**6,634,398**
Income tax expense	(1,533,984)	549	(1,533,435)
Profit for the year	**4,985,672**	**115,291**	**5,100,963**
Profit attributable to;			
Equity holders of the Company	4,738,048	15,382	4,753,430
Non-controlling interests	247,624	99,909	347,533
	4,985,672	**115,291**	**5,100,963**
Basic earnings per share (Rs)	**9.97**	**0.03**	**10.00**

Figures in brackets indicate deductions

Deconsolidation of Agalawatte Plantations PLC

Effect on Statement of Financial Position	**As at 30 September 2016**		
Statement of Financial Position	**Previously Reported Rs.' 000**	**Re-statement Rs.' 000**	**Restated Rs.' 000**
Assets			
Cash and cash equivalents	14,069,317	(29,799)	14,039,518
Trading assets - fair value through profit or loss	836,938	244,201	1,081,139
Investment securities	58,943,116	-	58,943,116
Finance lease receivables, hire	52,683,899	-	52,683,899
Advances and other loans	186,057,967	-	186,057,967
Insurance premium receivables	837,615	-	837,615
Inventories	3,856,348	(193,128)	3,663,220
Current tax assets	162,190	(34,199)	127,991
Trade and other current assets	12,345,392	(339,012)	12,006,380
Prepaid lease rentals on leasehold properties	731,763	(447)	731,316
Investment properties	8,425,813	(10,683)	8,415,130
Real estate stocks	937,004	-	937,004
Biological Assets;	-	-	-
Consumer biological assets	6,591,700	(450,737)	6,140,963
Bearer plants	7,228,788	(2,341,180)	4,887,608
Investments in group companies;	-	-	-
Subsidiary companies	-	-	-
Jointly controlled entities	233,253	(233,253)	-
Equity accounted investees - Associates	18,657,799	(41,633)	18,616,166
Deferred tax assets	417,434	-	417,434
Intangible assets	2,565,803	(14,288)	2,551,515
Property, plant and equipment	37,141,752	(902,787)	36,238,965
Total assets	**412,723,891**	**(4,346,945)**	**408,376,946**
Liabilities and equity			
Liabilities			
Bank overdrafts	7,049,460	(62,703)	6,986,757
Trading liabilities - fair value through profit or loss	261,140	-	261,140
Deposits liabilities	81,047,544	-	81,047,544
Interest bearing borrowings	223,387,093	(1,938,118)	221,448,975
Insurance provision - life	1,888,922	-	1,888,922
Insurance provision - general	2,716,234	-	2,716,234
Current tax payables	2,763,656	(3,188)	2,760,468
Trade and other payables	16,395,518	(1,661,513)	14,734,005
Deferred tax liabilities	3,859,792	(93,055)	3,766,737
Deferred income	649,391	(405)	648,986
Retirement benefit obligations	2,641,490	(608,441)	2,033,049
Total liabilities	**342,660,240**	**(4,367,423)**	**338,292,817**
Equity			
Stated capital	475,200	-	475,200
Reserves	5,492,805	-	5,492,805
Retained earnings	35,913,785	22,071	35,935,856
Equity attributable to shareholders of the Company	**41,881,790**	**22,071**	**41,903,861**
Non-controlling interests	28,181,861	(1,593)	28,180,268
Total equity	**70,063,651**	**20,478**	**70,084,129**
Total liabilities & equity	**412,723,891**	**(4,346,945)**	**408,376,946**

Figures in brackets indicate deductions

Lanka Orix Leasing Company PLC
Operating Segments

For the six month period ended 30 September 2017	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	60,602,231	3,262,805	8,722,781	1,330,802	1,693,440	-	(6,106,586)	**69,505,473**
Net interest cost	(28,032,277)	(1)	(722,914)	(863,423)	(289,283)	-	1,835,693	**(28,072,205)**
Cost of sales	-	-	(5,988,999)	(502,152)	(259,354)	-	4,167	**(6,746,338)**
Profit before operating expenses	**32,569,954**	**3,262,804**	**2,010,868**	**(34,773)**	**1,144,803**	**-**	**(4,266,726)**	**34,686,930**
Operating expenses	(21,991,257)	(3,126,448)	(1,994,180)	(693,712)	(1,081,700)	-	4,976,306	**(23,910,991)**
Results from operating activities	**10,578,697**	**136,356**	**16,688**	**(728,485)**	**63,103**	**-**	**709,580**	**10,775,939**
Share of profits of equity accounted investees	-	-	-	-	-	934,336	-	**934,336**
Gains on bargain purchases (negative goodwill)	-	-	-	-		-	-	**-**
Profit before taxation	**10,578,697**	**136,356**	**16,688**	**(728,485)**	**63,103**	**934,336**	**709,580**	**11,710,275**
For the six month period ended 30 September 2016 - Re-stated								
Gross income	32,811,822	2,618,721	8,103,824	682,283	3,283,796	-	(6,397,373)	41,103,073
Net interest cost	(15,646,375)	-	(649,217)	(352,182)	(218,822)	-	3,021,659	(13,844,937)
Cost of sales	-	-	(5,753,387)	(189,398)	(789,415)	-	8,103	(6,724,097)
Profit before operating expenses	17,165,447	2,618,721	1,701,220	140,703	2,275,559	-	(3,367,611)	20,534,039
Operating expenses	(11,676,128)	(2,524,399)	(1,951,676)	(554,255)	(2,049,652)	-	2,693,264	(16,062,846)
Results from operating activities	5,489,319	94,322	(250,456)	(413,552)	225,907	-	(674,347)	4,471,193
Share of profits of equity accounted investees	-	-	-	-	-	1,966,997	-	1,966,997
Results on acquisition and divestment of group investments	-	-	-	-	-	-	196,208	196,208
Profit before taxation	5,489,319	94,322	(250,456)	(413,552)	225,907	1,966,997	(478,139)	6,634,398

For the six month period ended 30 September 2017	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	3,743,485	-	-	-	-	-	-	**3,743,485**
Depreciation and amortization	675,838	22,238	139,517	127,491	127,263	-	4,380	**1,096,727**
Total assets (as at 30 September 2017)	714,689,099	10,294,195	45,912,770	39,000,314	9,464,665	-	(71,390,115)	**747,970,928**
Total liabilities (as at 30 September 2017)	608,343,793	6,961,868	24,702,705	17,361,248	6,198,662	-	(25,668,706)	**637,899,570**
For the six month period ended 30 September 2016 - Re-stated								
Net impairment (loss) / reversal on financial assets	1,435,857	-	-	-	-	-	-	**1,435,857**
Depreciation and amortization	375,262	23,445	134,381	136,326	160,397	-	6,204	**836,015**
Total assets (as at 30 September 2016)	388,317,633	8,185,442	28,844,482	30,600,187	19,133,526	-	(66,704,324)	**408,376,946**
Total liabilities (as at 30 September 2016)	335,461,631	5,642,313	13,509,076	9,906,586	8,859,172	-	(35,085,961)	**338,292,817**

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 30 September 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	11,280,722	-	-	**11,280,722**	**11,280,722**	Level 1 and Level 2
Investment securities	-	-	1,038,566	73,506,284	**74,544,850**	**74,544,850**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	54,164,591	**54,164,591**	**53,601,279**	Level 3
Advances and other loans	-	-	-	434,308,490	**434,308,490**	**434,027,492**	Level 3
Total financial assets	**-**	**11,280,722**	**1,038,566**	**561,979,365**	**574,298,653**	**573,454,344**	
Trading liabilities - fair value through profit or loss	922,953	-	-	-	**922,953**	**922,953**	Level 1
Deposits liabilities	-	-	-	271,491,695	**271,491,695**	**273,120,645**	Level 3
Interest bearing borrowings	-	-	-	314,975,136	**314,975,136**	**316,864,987**	Level 3
Total financial liabilities	**922,953**	**-**	**-**	**586,466,831**	**587,389,784**	**590,908,585**	

Rs'000

As at 31st March 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,649,561	-	-	**3,649,561**	**3,649,561**	Level 1 and Level 2
Investment securities	-	-	9,449,096	45,930,225	**55,379,321**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,886,989	**51,886,989**	**51,347,364**	Level 3
Advances and other loans	-	-	-	366,809,378	**366,809,378**	**366,572,052**	Level 3
Total financial assets	**-**	**3,649,561**	**9,449,096**	**464,626,592**	**477,725,249**	**476,948,299**	
Trading liabilities - fair value through profit or loss	65,287	-	-	-	**65,287**	**65,287**	Level 1
Deposits liabilities	-	-	-	211,128,007	**211,128,007**	**212,394,775**	Level 3
Interest bearing borrowings	-	-	-	286,749,284	**286,749,284**	**288,469,780**	Level 3
Total financial liabilities	**65,287**	**-**	**-**	**497,877,291**	**497,942,578**	**500,929,842**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 30 September 2017

Directors Name	No of shares	%
Mr. I C Nanayakkara * *Deputy Chairman*	121,669,500	25.604
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno *Alternate Director to H Nishio*	-	-
Mr.Kyokazu Ishinabe *Alternate Director to Mr. H Yamaguchi*	-	-

* The shareholding of Late R.M. Nanayakkara was considered as "Non Public", since a further 110,718,292 shares representing 23.299% of the shares in issue, are held in the name of Late R.M. Nanayakkara, which are being processed to be transmitted to Mr. I.C. Nanayakkara, a Director of the Company, pursuant to a Nomination received by the company. Post, total transmission of shares held by Late R.M. Nanayakkara, to Mr. I.C. Nanayakkara, Mr. I.C. Nanayakkara's holding will increase by a further 110,718,292 and his total shareholding will then be 48.903%. (Which includes shares already held by Mr. I.C. Nanayakkara as aforesaid)

Top 20 shareholders as at 30 September 2017

	Shareholder	No. of Shares	% of Issued Capital
1	Orix Corporation	142,560,000	30.000
2	Mr. R M Nanayakkara (Deceased)	110,718,292	23.299
3	Sampath Bank PLC/ Ishara Chinthaka Nanayakkara	61,774,000	13.000
4	Mr. I C Nanayakkara	59,895,500	12.604
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
8	Renaissance Capital (Private) Limited	8,671,625	1.825
9	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN AMRO MULTI - MANAGER FUND	6,937,775	1.460
10	Mrs. I Nanayakkara	2,827,948	0.595
11	Creation Investments SLI LLC	2,697,458	0.568
12	Mr. R C De Silva	1,598,000	0.336
13	Employees Trust Fund Board	1,266,788	0.267
14	J B Cocoshell (Pvt) Ltd	1,187,502	0.250
15	Swasthika Mills LTD	985,703	0.207
16	Mrs. S N Fernando	818,440	0.172
17	Dr. M Ponnambalam	772,616	0.163
18	Mr. G G Ponnambalam	766,818	0.161
19	CONFIFI Management Services Ltd	600,000	0.126
20	HSBC Intl Nom Ltd - BBH - Mathews Emerging Asia Fund	573,466	0.121
		455,715,663	**95.900**

The Public Shareholding as at 30 September 2017 was 16.09 % comprising of 2,869 shareholders.